

Cholamandalam Investment & Finance Company Ltd

CHOLAFIN | Unknown

22,502.0

Revenue (■ Cr)

3,852.0

Net Profit (■ Cr)

17.5%

ROE

28.1%

OPM

6.9

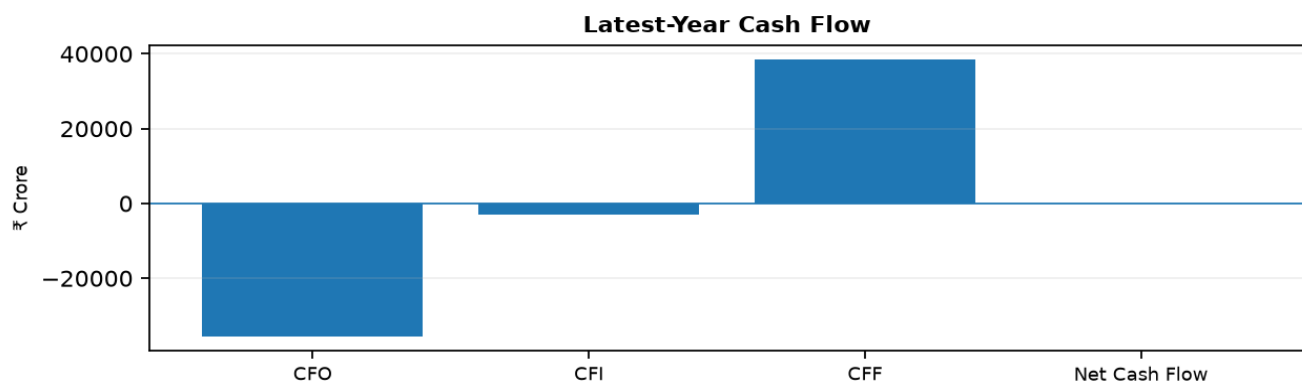
Debt / Equity

-38,538.0

Free Cash Flow (■ Cr)

Financial Performance

Balance Sheet & Cash Flow Intelligence



CAPITAL ALLOCATION: Distress Signal

PROS

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits

CONS

- Debt-to-equity ratio of 6.86 is elevated for a non-financial company and warrants monitoring
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure